EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran. It became a town through a bill introduced by Congressman Paulino Alonzo of the 2nd District of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality. It is composed of thirty (30) barangays.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Lasam for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Lasam, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/ (Decrease)
Financial Position			
Assets	624,082,353.84	525,408,309.27	98,674,044.57
Liabilities	128,398,489.94	49,080,529.86	79,317,960.08
Government Equity	495,683,863.90	476,327,779.41	19,356,084.49
Financial Performance			
Income	233,314,810.32	182,837,933.19	50,476,877.13
Expense	193,237,695.84	138,290,037.21	54,947,658.63
Appropriations, Allotments and Obligation			
Appropriations	243,000,000.00	195,000,000.00	48,000,000.00
Allotments	243,000,000.00	195,000,000.00	48,000,000.00
Obligations	214,791,489.73	165,288,596.65	49,502,893.08

C. Independent Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Lasam, Cagayan for the year-ended December 31, 2022 due to: (1) irregularities in the conduct of the one-time cleansing of the PPE accounts, affecting the reliability of the said account amounting to P371,884,117.98; and (2) non-conduct of physical count of local road networks, affecting the reliability of the said account amounting to P121,619,006.51.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The reliability of the Property, Plant and Equipment account totaling to P371,884,117.98 as at December 31, 2022 could not be ascertained due to the following:

    a. Properties with values below the capitalization of P15,000.00 are still included in the PPE accounts;
    b. The values of 713 PPE items, which were not included in the accounting or property records but were found at the station during the physical count, were not determined or established;
    c. The net book values of the Communication Networks, Communication Equipment, Disaster Response and Rescue Equipment and Motor Vehicles accounts per financial statement were not reconciled with the RPCPPE, showing a total net difference of P338,456.25;
    d. PPE accounts, with total net book value of P11,235,278.71, were derecognized in the books of accounts without requesting the authority from COA to drop them from the books; and
    e. Various PPE accounts, with total net book value of P10,906,482.32, that should be transferred to other government agencies, were removed from the books without coordination with the latter for proper turn-over and cause the recording in their respective books.

    The aforementioned irregularities in the cleansing of PPE accounts of the Municipality is not in accordance with COA Circular No. 2020-006 dated January 31, 2020 and Item 2.2 of Circular No. 2005-002 dated April 14, 2005.

    We recommended that the Management, thru the Local Chief Executive:

    a. Instruct the Municipal Accountant to prepare the adjusting entries for the reclassification of PPE items below the capitalization threshold of P15,000.00 to the appropriate accounts;

b. Instruct the GSO-Designate to cancel the Property Acknowledgement Receipts of the properties below the capitalization threshold and issue an Inventory Custodian Slip in lieu thereof;

c. Require the Inventory Committee to determine the unit cost/value of PPE items found at the station in accordance with Item 6 of COA Circular No. 2020-006 dated January 31, 2020 and thereafter, instruct the Municipal Accountant to recognize and record them in the books of accounts;

d. Instruct the Municipal Accountant to investigate what caused the unreconciled balances of the Communication Networks, Communication Equipment, Disaster Response and Rescue Equipment and Motor Vehicles accounts in the financial statement and the inventory report and to prepare appropriate adjusting entries to reconcile them;

e. Instruct the Municipal Accountant to reverse the journal entries previously made to derecognize the non-existent/missing PPE accounts and PPE accounts to be transferred to other agencies in the amount of P11,235,287.73 and P10,906,482.32, respectively;

f. Instruct the GSO-Designate to institute measures for the proper disposition of non-existing /missing properties in accordance with Items 7 & 8 of COA Circular No. 2020-006 dated January 31, 2020;

g. Instruct the Municipal Accountant to take up the necessary accounting entries to recognize in the books of accounts the loss of PPE and, where appropriate, to set up the corresponding receivables from concerned accountable officers/personnel for the non-existing/missing PPEs with available record of accountability;

h. File a request for authority to the COA Audit Team prior to the derecognition of non-existing/missing PPEs without available record of accountability;

i. Coordinate with the head of the recipient agency for proper turn-over of the assets to be transferred to them and effect the recording of these assets in their books of accounts; and

j. Require the Inventory Committee to strictly comply with the provisions of COA Circular No. 2020-006 dated January 31, 2020 for the one-time cleansing of PPE account balances of the Municipality.

2. The accuracy of the Road Networks account totaling P121,619,006.51 as at December 31, 2022 cannot be established due to: (1) failure to conduct verification of the existence of the local road networks; (2) absence of a complete Local Road Network Property Card for all local roads; and (3) lack of

disclosure in the Notes to Financial Statements on the road network system, which are contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, the reliability and fair presentation of the account in the financial statements could not be ascertained.

We recommended that the Local Chief Executive:

a. Enjoin the Municipal Engineer, General Services Officer and the Municipal Accountant to comply with the accounting and reporting guidelines prescribed under COA Circular No. 2015-008 dated November 23, 2015 to ensure fair presentation of the Road Networks account in the financial statements;

b. Require the conduct of inventory of the local roads under the LGU's jurisdiction and the reconciliation of the list of inventory per Local Road Inventory Report and Road Map with those recorded in the Road Networks account. Thereafter, the preparation of Local Road Network Report must be observed yearly; and

c. Direct the Municipal Accountant to provide adequate disclosure regarding the Road Network System in the Notes to Financial Statements using the format prescribed by the said COA Circular.

3. Several of the Contracts of Services executed between the Municipal Mayor and the Job Order workers for the first semester of CY 2022 were not duly filled-up and unsigned by some of the authorized signatories named therein, which are not in keeping with Section 2 of CSC Resolution No. 020790, thereby, casting doubts on the validity of the contracts. Moreover, the Job Order workers were allowed to report in the designated assignment and perform their functions in January 2022 even before the perfection of their contracts with the Municipality in February 2022.

   Further, the Municipality engaged the services of several Job Order workers with duties and responsibilities similar to that of regular employees, contrary to Section 7 of CSC-COA-DBM Joint Memorandum Circular No. 2017-1, thus, may not be economical and efficient considering the possible risks involved due to absence of accountability of said workers.

   We recommended that the Management, through the Human Resource Management Office:

   a. Ensure that all important terms and conditions in hiring Job Order workers are stipulated in the Contract of Services;

   b. Require the perfection of the Contract of Services before the JO workers are allowed to report and the render their services in accordance with Section 2 of CSC Resolution No. 020790; and

c. Refrain from assigning regular functions to JO workers in compliance to Section 7 of CSC-COA-DBM Joint Memorandum Circular No. 2017-1 dated June 15, 2017 but consider the qualified JO workers for appointment to vacant positions, if any, subject to existing Civil Service laws, rules and regulations.

4. The amounts set up as Real Property Tax and Special Education Tax Receivables of P2,721,516.50 each at the beginning of the year were not based on the Real Property Tax Account Register/Taxpayer's index card, contrary to Section 246 of the Republic Act No. 7160 and Section 20 of the Manual on the New Government Accounting System (NGAS), Volume I, thus, the accuracy, validity and reliability of the affected accounts could not be ascertained.

   We recommended that the Municipal Mayor require:

   a. The Municipal Treasurer, in coordination with the Municipal Assessor, to prepare and furnish the Municipal Accountant a duly certified list of taxpayers showing the names and the amounts due and collectible based on updated Real Property Tax Account Register/Taxpayer's Index Card to provide an accurate and reliable basis in setting up the Receivables from RPT and SET;

   b. The Municipal Accountant to draw a Journal Entry Voucher to record the RPT/SET Receivables established at the beginning of the year based on the submitted duly certified list of taxpayers with the amount due and collectible for the year and maintain the corresponding subsidiary ledgers to monitor tax collections and delinquencies;

   c. The Municipal Accountant and Municipal Treasurer to reconcile the RPT Receivable and SET Receivable set up at the beginning of the year and draw the appropriate adjusting entries, if necessary;

   d. The Municipal Treasury to implement a more intensive strategy in the collection of Real Property Tax in the Municipality; and

   e. The concerned officials to adhere strictly to the provisions of Section 246 of RA No. 7160 and New Government Accounting System Manual for LGUs, Volume I.

E. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	679,640.45	-	-	679,640.45	-
Current Year	-	-	-	-	-
Total	**679,640.45**	**-**	**-**	**679,640.45**	**-**
Disallowances					
Prior Years	16,951,512.13	-	374,620.53	16,576,891.60	2.21%
Current Year	-	-	-	-	-
Total	**16,951,512.13**	**-**	**374,620.53**	**16,576,891.60**	**2.21%**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the ten (10) audit recommendations embodied in the CY 2021 Annual Audit Report, five (5) were fully implemented, one (1) was partially implemented and four (4) were not implemented and reiterated in Part II of this Report.